

Fiserv

Execution reset or structural erosion?



NASDAQ: FISV • Research review + Imagine 1–10

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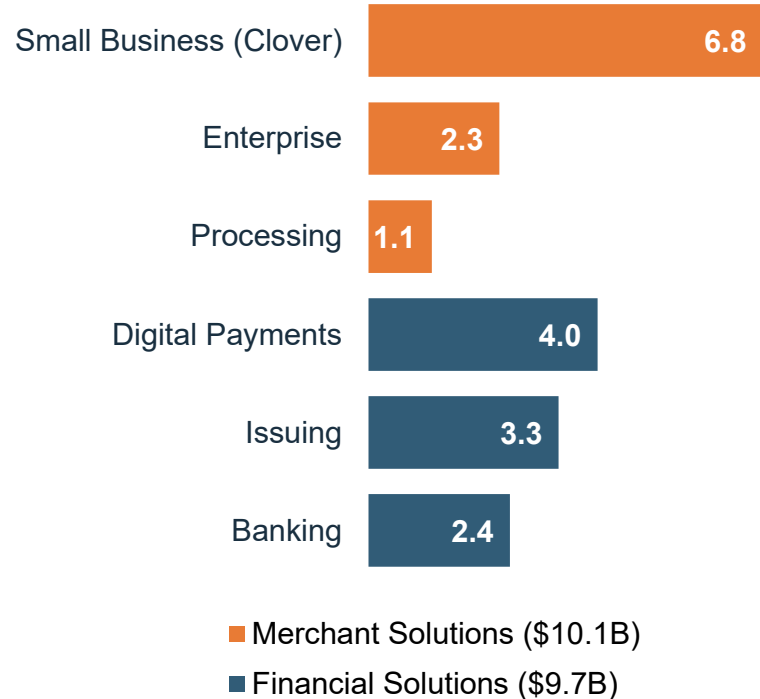
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A global provider of payments and banking technology

- Runs the back-end tech for banks and card payments, on both sides of the sale
- Formed by the 2019 merger of Fiserv (bank tech) and First Data (merchant payments)
- ~10,000 banks and credit unions, 6M+ merchants, 100+ countries, 38,000+ employees
- ~80% of revenue is recurring, on multi-year contracts. HQ Milwaukee, Nasdaq: FISV

2025 ADJUSTED REVENUE BY BUSINESS LINE (\$B)



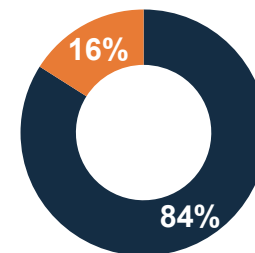
Most of what Fiserv sells, clients need just to operate.

A leader in four markets, spread across 100+ countries

FISERV'S POSITION BY MARKET

Market	Position	Main rivals
Core banking	#1: ~42% of banks, ~31% of credit unions	Jack Henry, FIS
Merchant acquiring	#3 in the U.S. by volume	Global Payments, JPMorgan, Stripe
Small business POS	Clover: ~20% of small restaurants	Toast, Square, Shopify
Debit networks	STAR and Accel: 3rd largest U.S.	Visa, Mastercard, Capital One

2025 REVENUE BY REGION



■ U.S. and Canada ■ International

- Argentina drove ~10 of 16 pts of 2024 growth, then faded
- Canada: TD's merchants are moving to Clover

Sticky at the bank. Contested at the register. Argentina moved the growth rate.

A 4% revenue drop became a 26% EPS drop

Metric	Q2 2025	Q2 2026	Change
GAAP revenue	\$5.52B	\$5.29B	-4%
Adjusted revenue	\$5.20B	\$4.96B	-4%
Organic growth	+8%	-5%	-13 pts
GAAP net income	\$1.03B	\$0.63B	-39%
Adj. net income	\$1.36B	\$0.98B	-28%
GAAP EPS	\$1.86	\$1.17	-37%
Adjusted EPS	\$2.47	\$1.84	-26%
Adj. op. margin	39.6%	31.8%	-780bp

- Missed Street EPS: \$1.84 vs. \$1.91
- Financial Solutions -8% organic, Merchant -1%
- H1 capex up 17% to \$956M, rebuilding service and tech
- GAAP includes a one-time \$154M gain from bond buybacks

Revenue slipped. Profit fell much faster.

Sources: Fiserv Q2 2026 earnings release (6 Aug 2026) | Consensus: UBS, JPM recaps (6 Aug 2026)

2026 cut again, but the 2029 plan stands

2026 OUTLOOK

Measure	May 2026	Aug 2026
Organic revenue	+1% to +3%	-1% to 0%
Adjusted EPS	\$8.00 to \$8.30	\$7.20 to \$7.40
Adj. op. margin	~34%	31% to 31.5%
FCF conversion	~90%	~90%

Needs Q3 down low single digits, then Q4 up mid single digits.

2027 TO 2029 PLAN (UNCHANGED)

- 4% to 6% revenue growth a year
- \$12+ adj. EPS in 2029
- 37%+ adj. op. margin
- \$500M cost savings (Project Elevate)
- ~90% FCF conversion

Second guidance cut in 10 months. The market wants proof before the next one.

Sources: [Q2 2026 release](#) | [Q1 2026 release](#) | [Investor Day deck \(May 2026\)](#) | UBS, JPM, DB recaps (6 Aug 2026)

Bonds and options: rates are a second headwind

BONDS

- Rated BBB (S&P, negative outlook) and Baa2 (Moody's)
- \$27.9B of debt, more than the \$24.8B market cap
- Sep 2026: hot inflation data pushed the 10-yr Treasury to ~5.1%, and Fiserv's bonds moved with it
- \$1.8B matures in 2027 and \$3.5B in 2028, exposing earnings to refinancing costs

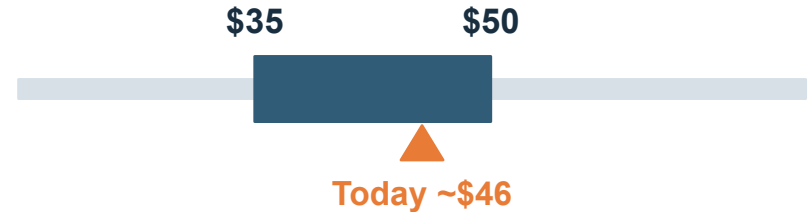
5.475%

yield on the 4.20% 2028 note, +2.58% in a day

~\$5.3B

debt maturing in 2027 to 2028

OPTIONS: JAN 21, 2028 EXPIRY (FUTU)



- Futu model: 45% between \$35 and \$50 by Jan 2028
- Model estimates: 25% above \$50, 30% below \$35
- Puts lead calls in open interest (9.6k vs. 7.3k) and price richer too
- Broker targets (\$55 to \$60) need the top quartile of outcomes

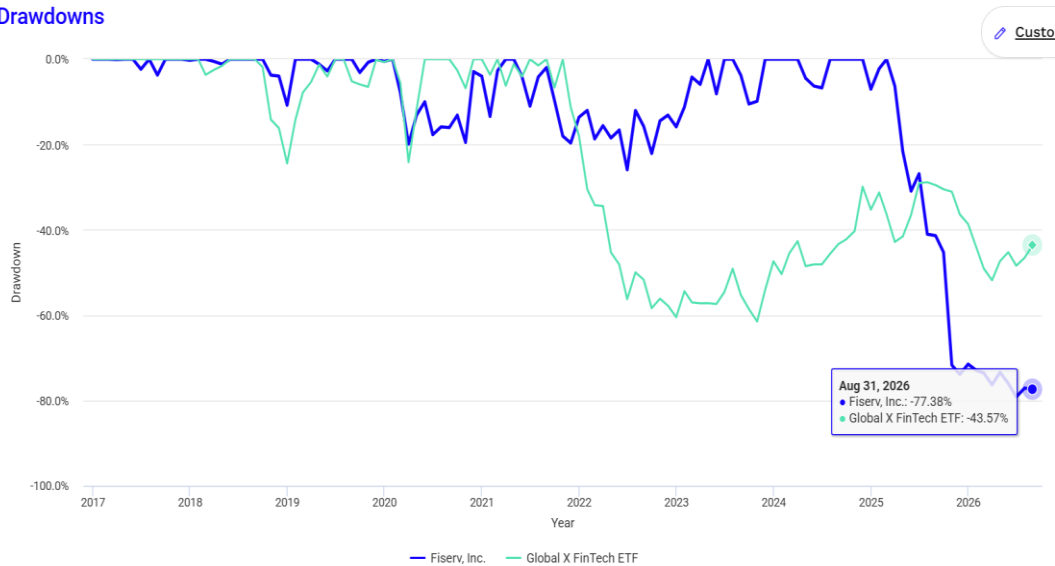
Option-implied estimates are model outputs, not objective outcome probabilities.

Sources: [S&P via Cbonds \(Feb 2026\)](#) | [Moody's](#) | [Fiserv Q2 2026 10-Q](#) | Futu Securities, FISV option data (24 Sep 2026) | [Wolf Street, IG spreads \(23 Sep 2026\)](#)

Fiserv fell further than the sector, and still trades cheap

DRAWDOWN FROM ALL-TIME HIGH: FISERV VS. FINTECH SECTOR

Drawdowns



-77.4%

Fiserv from its all-time high

-44.6%

Global X FinTech ETF from its high

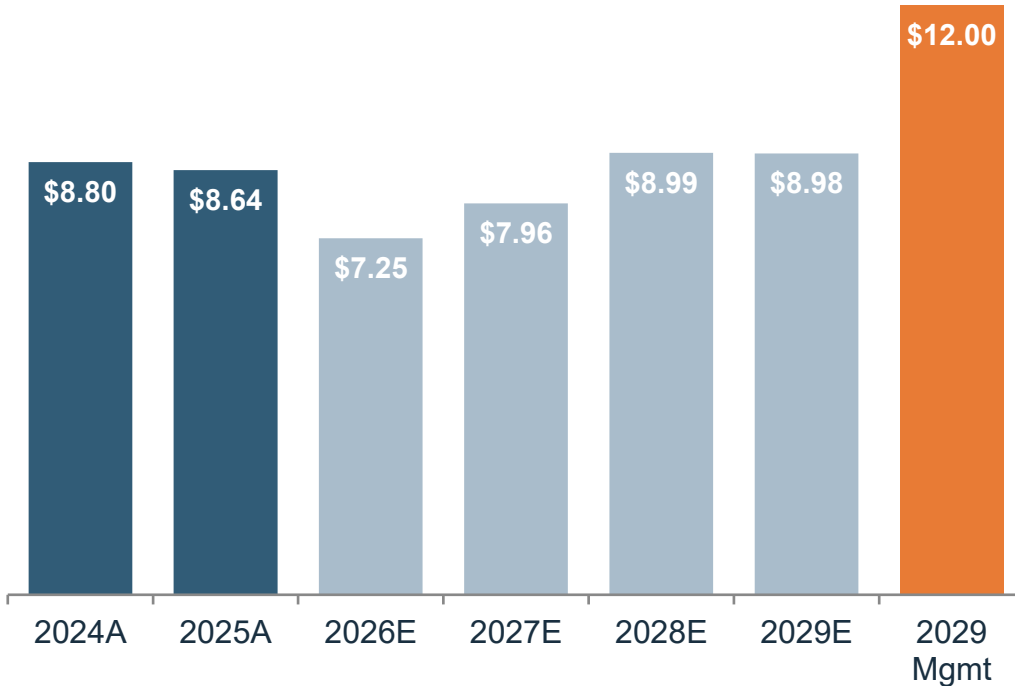
- 6.4x 2026 EPS guidance, in line with FIS (5.7x) and Global Payments (6.2x)
- 2-year average P/E 12.7x. EV ~\$52B, over half is debt
- ~6.4x EV/EBITDA, ~14% free cash flow yield
- Discount to peers widened from -41% to -67% vs. the 2-year average, the biggest move in the group

Down almost twice as far as the sector, and still priced below its peers.

Sources: [Stock Analysis](#), drawdown tool (22 Sep 2026) | Bloomberg comps and P/E history (22 Sep 2026) | [Q2 2026 balance sheet](#)

The Street does not believe the \$12 target

ADJ. EPS: ACTUAL (DARK) VS. CONSENSUS (LIGHT)



Year	EPS	P/E
2026E	\$7.25	6.4x
2027E	\$7.96	5.8x
2028E	\$8.99	5.2x
2029E	\$8.98	5.2x
2029 Mgmt	\$12.00+	3.9x

P/E = \$46.47 / EPS. Only 10 analysts publish 2029, so treat it as rough.

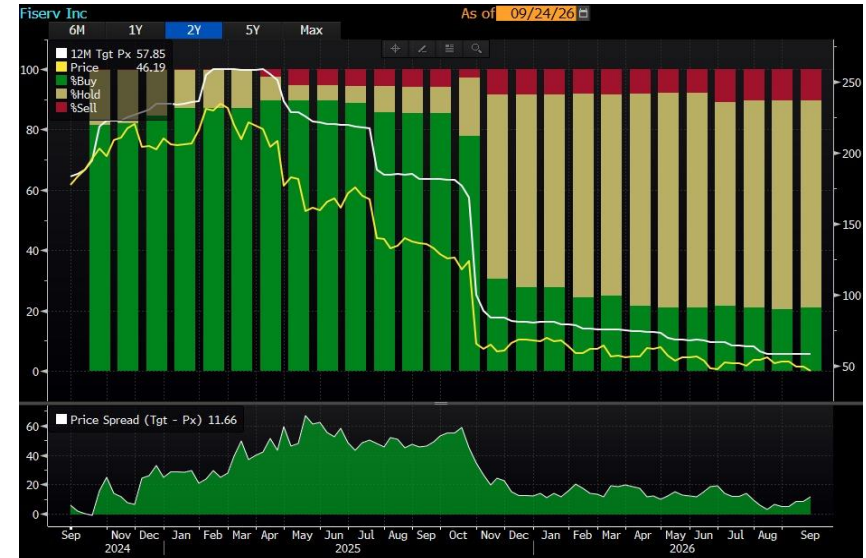
Street 2029 EPS is ~25% below target. The current price is ~5x that estimate.

Sources: Bloomberg consensus (BEst), 22 Sep 2026 | Investor Day deck (May 2026) | Close \$46.47 (Stock Analysis)

Selected brokers remain cautious

Source	Rating	Target	Upside
UBS (1 Sep)	Neutral	\$60	+29%
JPM (Dec-27 target)	Neutral	\$60	+29%
Deutsche (6 Aug)	Hold	\$55	+18%
Freedom (14 Aug)	Hold	\$60	+29%
Street average	~21% Buy	\$57.85	+24%

- Buy ratings fell from ~80% to ~21% after Oct 2025
- Targets use only ~7x earnings



Bloomberg: Street 12M target (white), price (yellow), Buy/Hold/Sell mix. As of 24 Sep 2026.

Broker target horizons differ. These are not directly comparable forecasts.

Sources: UBS, J.P. Morgan, Deutsche Bank, Freedom Broker reports (Aug to Sep 2026) | Bloomberg ANR (24 Sep 2026)

Technical Analysis



Source: supplied FISV chart. Technical signals are descriptive, not forecasts.

P/E Valuation with imagination

Input	Basis used in this analysis
Reference price	\$46.47 on 22 September 2026
FY2026 earnings	\$7.20–\$7.40 adjusted EPS guidance
Implied FY2026 P/E	6.3–6.5× using the same price
End-2027 scenarios	FY2028 adjusted EPS × forward P/E

Imagination 1–9: Fiserv overview

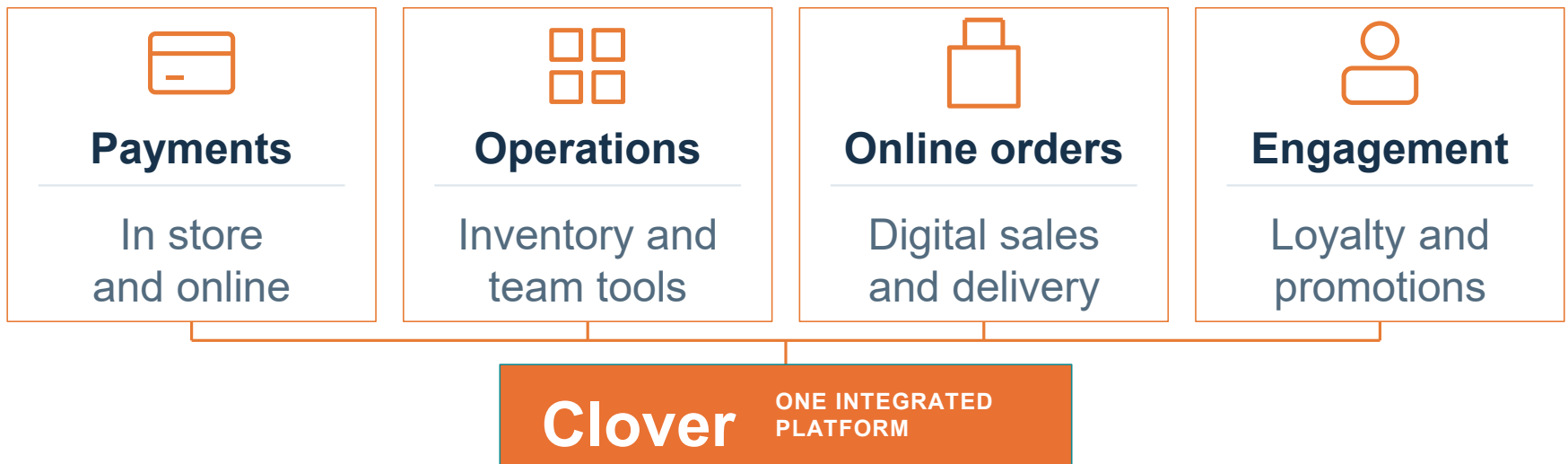
Potential effects on valuation and earnings, with observable tests

Lens	Core insight	P/E effect	EPS effect	Timing	Evidence to monitor
1 TAM	AI agents could expand payment demand	Up if growth becomes credible	Up if adoption produces profit	1–3 years	Paid agent transactions and incremental revenue
2 Scenarios	Recovery or structural deterioration	Up / down with recovery confidence	Up / down with operating results	Next results to 3 years	Growth, retention and margins versus guidance
3 Perspective	Stakeholder conflicts may limit value capture	Down if pricing power weakens	Down if pressure reduces margins	Long term	Partner renewals, pricing and customer retention
4 Catalyst	Operating milestones could validate recovery	Up as execution risk declines	Up as profitable revenue scales	Next few results	Activations, renewals and on-time implementations
5 Connections	Bank consolidation may weaken pricing power	Down if franchise durability falls	Unclear: depends on retained clients	1–3 years	Merger-related exits, pricing and referrals
6 Hidden growth	Clover software could expand recurring profit	Up if software economics endure	Up if paid adoption lifts profit per client	1–3 years	Software adoption, retention and margins
7 Bottleneck	Delayed go-lives defer contracted revenue	Up if delivery risk falls	Up if launches are profitable	Q4 2026 to 2027	Contracts going live and revenue being recognized
8 Weakest link	Clover must convert activity into revenue	Down if confidence in growth falls	Down if revenue misses persist	Next few results	Persistent revenue-growth shortfall versus volume
9 Capability	AI creates opportunity and competitive pressure	Unclear: depends on differentiation	Up only if benefits exceed total costs	2027–2029	Paid adoption and savings net of AI and support costs

*Note: All effects are conditional hypotheses. Timing reflects the supplied analysis, not a forecast.

Clover: One integrated environment for small-business owners

Solution: A small-business owner needs to operate the business without employing a large administrative team.



POTENTIAL EPS PATHWAY

Paid software adoption → higher profit per merchant

POTENTIAL P/E PATHWAY

Durable growth + retention → a stronger valuation case

Star and Accel (1): Provide anytime access to funds and payments consumers want



Comprehensive capabilities and coverage



Innovation investments



Economic optimization



Collaborative partnership

Star and Accel (2): A payment network solution



MoneyPass

Surcharge-free
ATMs and
CardFree Cash,
providing stronger
connections with
consumers



Payment Networks

Extensive access
and expansive
coverage to faster,
more secure, and
flexible
transactions



Strategic Insights

Empower ideas in
the payments
ecosystem, helping
increase cardholder
acquisition and
loyalty

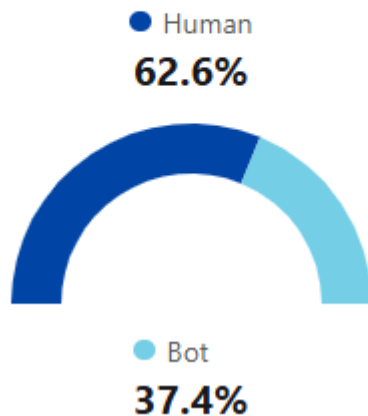
Deep dive: A market defined by AI Agents

Hypothesis: agents initiate payments. Paying customers remain unproven.

World-wide

Bot vs. Human

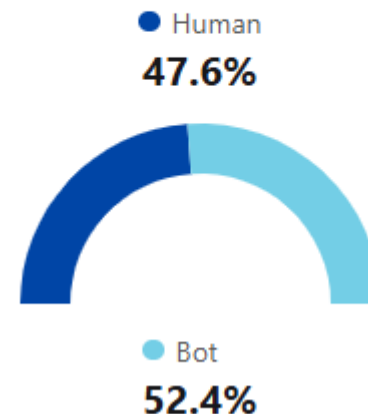
Percentage of bot vs. human HTTP requests



United States

Bot vs. Human

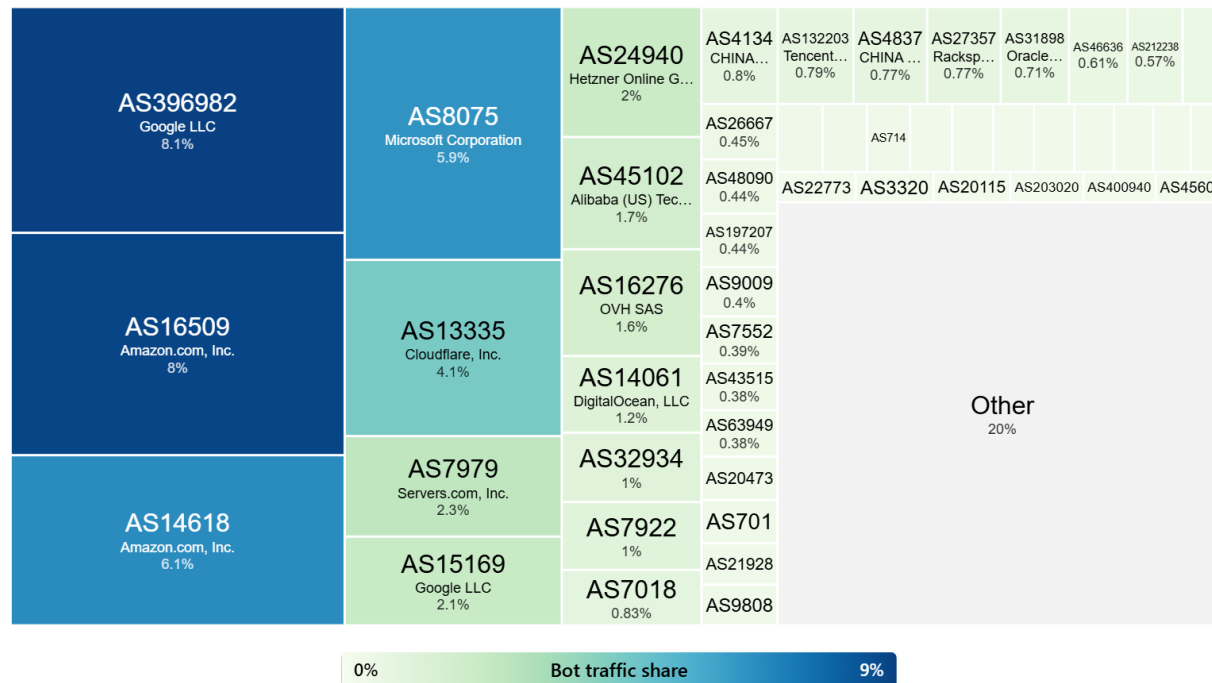
Percentage of bot vs. human HTTP requests



Agent-commerce hypothesis: potential cloud counterparties

Bot traffic share by autonomous system worldwide

Top autonomous systems by share of total bot traffic



Four Scenarios for Fiserv

Successful recovery

Retention and growth improve; operating leverage returns.

Higher EPS | Higher P/E

Modest stabilization

Customer losses ease; growth is modest and investment persists.

Stable EPS | Stable P/E

Productive rebuilding

Spending rises first; delivery and customer evidence improve.

EPS down first | P/E can rise

Structural deterioration

Competition and attrition overwhelm reinvestment; pricing erodes.

Lower EPS | Lower P/E

Conflict of benefits from different sides

Why might each stakeholder disagree with the investment case?

STAKEHOLDER	OBJECTION TO TEST	EVIDENCE REQUIRED
Merchant	Does Clover save more than it costs?	Retention; software adoption; complaints
Bank / distributor	Does Fiserv strengthen—or compete with—my offer?	Partner renewals; merchant referrals
Competitor	Can I match the bundle and undercut pricing?	Win/loss rates; net revenue yield
Implementation engineer	Can integrations scale without service failures?	Deployment times; uptime; support costs
Lender	Does cash generation support debt service?	Free cash flow; leverage; interest coverage

The Catalyst: Operating Milestones

The market's perception shifts from viewing recent CapEx + M&A as a defensive cash-burn to recognizing it as an offensive driver of durable growth and improved returns on capital

P/E: UP 

P/E could rise if paid adoption demonstrates durable software economics

EPS: UP 

Software activation accelerates revenue faster than variable costs -> Margins and NI up

TIMING

Next few reporting periods if management provides credible milestones. The EPS effect will trail slightly, materializing as those milestones produce profitable revenue

EVIDENCE

Activation rates of new platforms, customer renewal rates, and management's reported ROIC on the recent CapEx projects and acquisitions

Connections: Consolidation of Regional Banks

Bank mergers could concentrate purchasing power and weaken local referrals to Clover

P/E: DOWN 

Multiples compress as investors fear lost pricing power and shrinking referral network

EPS: UNCLEAR 

Depends on client retention rate.
Up if surviving banks choose Fiserv platform, down if not

TIMING 1 – 3 Years

EVIDENCE Merger-related exits, lower renewal prices or weaker bank referrals would challenge the thesis

The Hidden Growth Engine: Clover SaaS Ecosystem

Hypothesis: recurring Clover software could improve earnings quality if adoption and net margins prove durable

P/E: UP 

A premium requires durable growth, retention and returns after reinvestment

EPS: UP 

High-margin software subscriptions scale faster than operating expenses

TIMING 1 – 3 Years

EVIDENCE Clover revenue growth rate accelerating

The Customers Are Signed, the Revenue Is Stuck

OPPORTUNITY

Signed contracts,
enterprise ramps

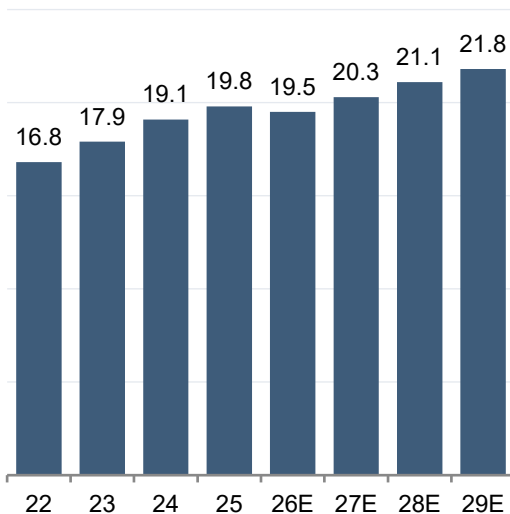
BOTTLENECK

Go-live timing (c.2 pp
of 2H26)

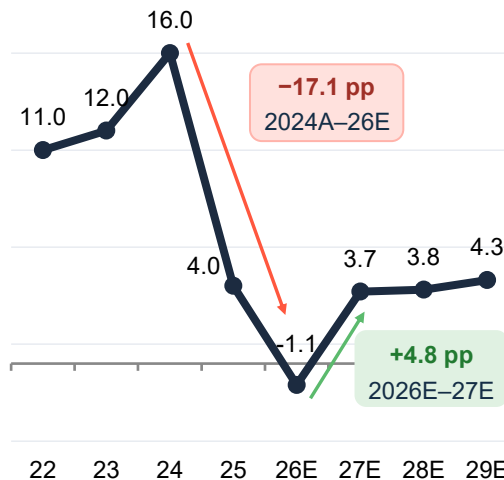
CASH FLOW

Revenue lands c.1 qtr
later

Adj. revenue (\$bn.)



Organic growth (%)



SPEED BUMP OR WALL?

Speed
bump ✓

Wall

Top deal slipped ~1
quarter on client M&A;
deal size unchanged

2 pp
of the 2H26 cut is delayed
go-lives

P/E ▲ risk falls

EPS ▲ revenue lands

Timing: Q4 2026–27

Is the Bottleneck Clearing?

Metric	2025A	2026E	2027E
Organic growth	4.0%	-1.1%	3.7%
Adj. revenue (\$bn)	19.8	19.5	20.3
Adj. op. margin	37.4%	31.7%	32.5%
Free cash flow (\$bn)	4.4	3.5	3.8
Adj. EPS	\$8.64	\$7.25	\$7.96

PROOF WE NEED

- Q4 organic growth mid-single digit
- Margin +50 bp / yr
- No third guide cut

2026E is the trough; the P/E re-rates only after proof

Verdict: fixable, but only Q4 2026 can prove it

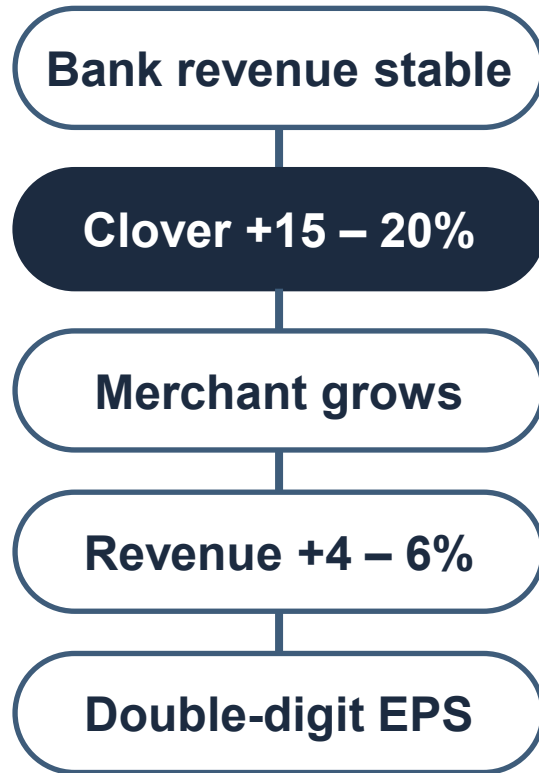
Go-Lives Must Produce Profitable Revenue

Evidence: management reaffirmed implementation timing and Q4 growth expectations on 10 September.

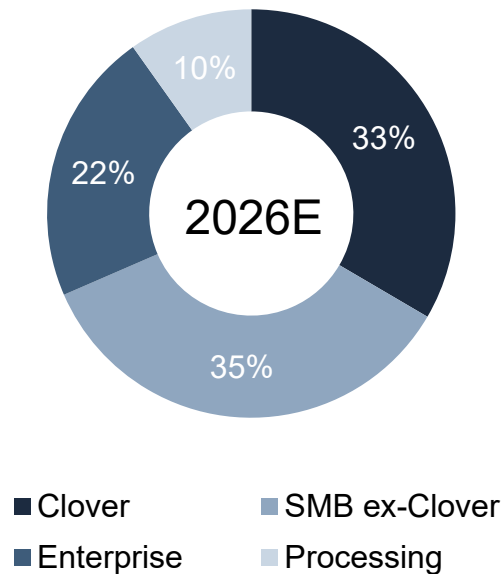
EPS step	Business mechanism
Revenue	Live contracts begin generating recurring fees.
Operating profit	Fees exceed delivery, support and depreciation costs.
Interest and tax	Funding costs and taxes reduce the incremental profit.
Shares and EPS	Net profit ÷ diluted shares. No buyback benefit assumed.

Reject if launches slip again or go-lives fail to improve recurring profit and cash.

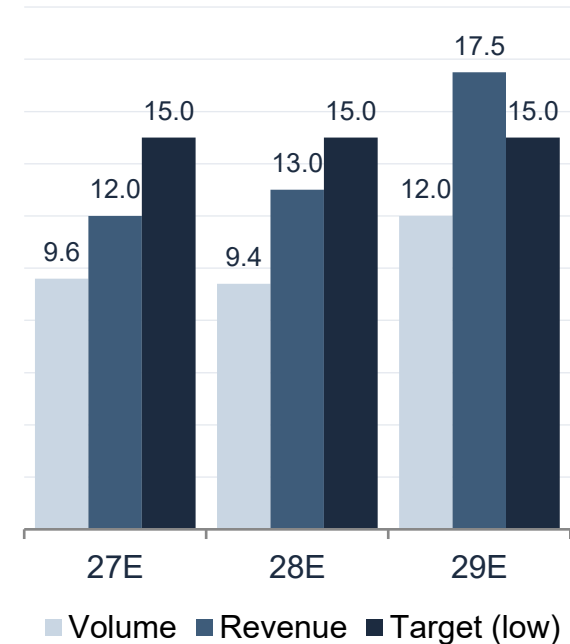
Clover Must Turn Volume Into Revenue



Merchant mix:
Clover $\approx \frac{1}{3}$



Clover growth % vs target



Clover is $\frac{1}{3}$ of Merchant and its main growth engine: if it misses, P/E falls first

12–13% < 15% target

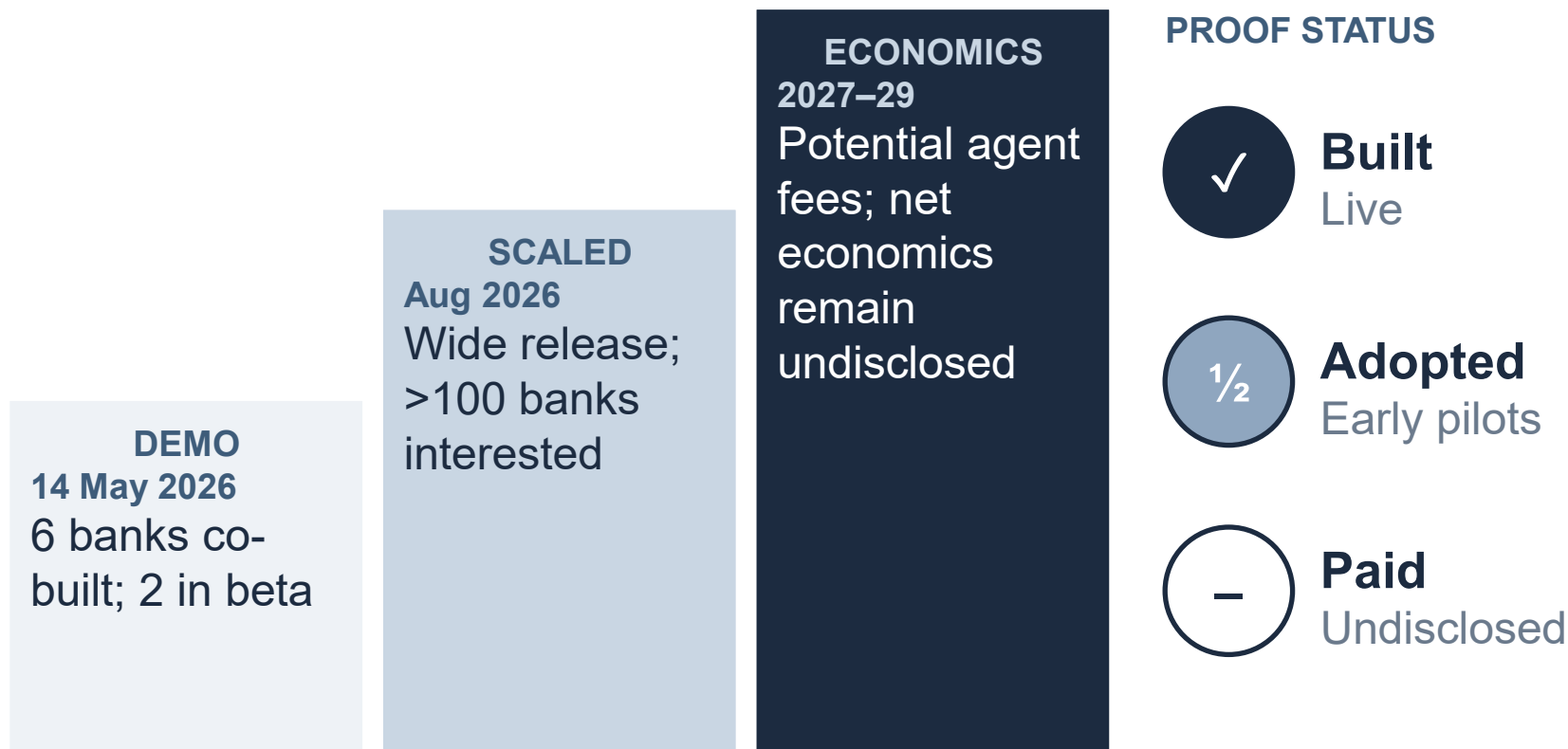
Volume Growth Needs an Earnings Bridge

Evidence: management expects reported and underlying growth to align more closely in Q4.

EPS step	Business mechanism
Revenue	Payment volume × net yield, plus software and services.
Operating profit	Subtract partner fees, support costs and reinvestment.
Interest and tax	Funding and taxes may offset operating gains.
Shares and EPS	Divide net profit by diluted shares on the same basis.

Reject the recovery thesis if comparable revenue yield and margins keep deteriorating after temporary headwinds fade.

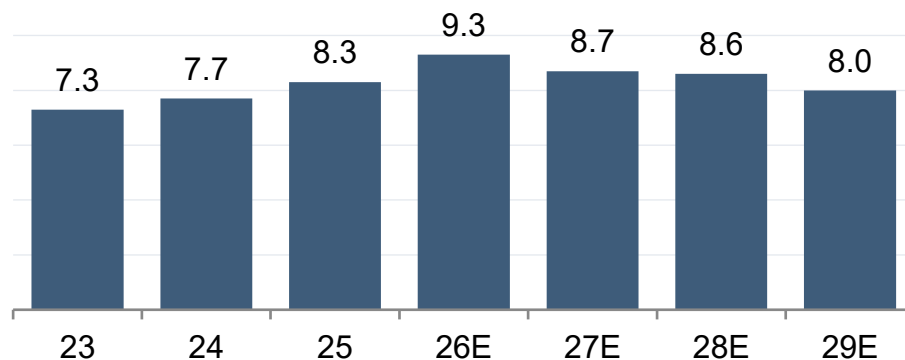
What Can Fiserv Do Now? AI Agents for Banks



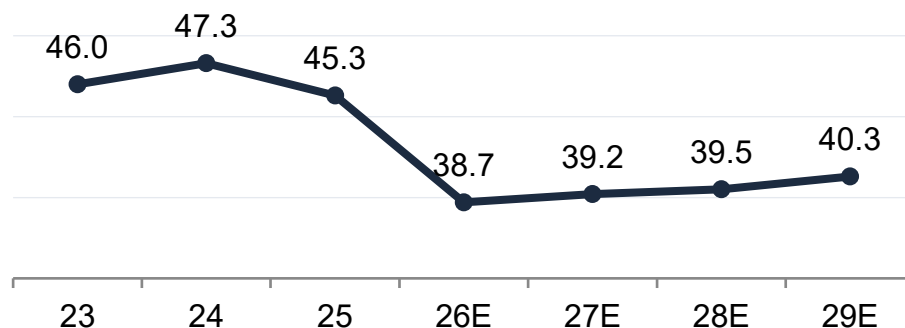
The capability exists. Commercial profit remains unproven. Watch for paid use and renewals.

Deep Dive: Can Fiserv Capture Value After Costs?

Cost: Capex, % of Revenue



Financial Solutions Adj. Operating Margin (%)



VALUE LEDGER

+ Captured

Owens core ledger

Share of agent fees

Elevate savings

– Leaked

Rivals get same AI

\$100M cyber spend

OpenAI / AWS tools

NOT PROVEN YET
AI recovers c.1.6 of c.8 pp lost

P/E ? until margin proof

EPS ▲ only net of AI costs

Wrong if: no fees by 2028

EPS can fall while a credible rebuild lifts P/E

Current price \$46.47 × 531.77M common shares = \$24.71B equity value

Same FY2026 earnings horizon	Reference	Rebuild sensitivity
Adjusted EPS	\$7.30	\$7.02
P/E on that EPS	6.3658×	7.2× assumed
Share price	\$46.47	\$50.54
Diluted shares used in EPS	533.70M	533.70M held fixed

\$200M extra recurring expense × (1 – 25% tax) ÷ 533.70M shares = \$0.281 EPS reduction.

EPS falls 3.9%. A higher P/E requires credible retention and future cash flow.

Revolutionary for consumption: A household delegates routine money decisions

Future Scenario:

A robot spots an empty fridge. An AI orders groceries and pays within a family budget.

Control

Parents cap spending. Children need approval. Grandparents can cancel by voice.

- | | |
|-------------------|---|
| First step | Permissions must work across merchants and banks. |
| Regulator | Who authorized the purchase, and who pays for mistakes? |
| Criminal | A cloned voice tries to override household spending limits. |
| Hypothesis | Delegation becomes routine only if people retain control. |
-

Trust becomes the scarce input

Becomes cheap:

Searching, ordering and bill administration cost less. Manual checkout starts to disappear.

Remains scarce:

Verified identity, valid consent, and reliable refunds command attention and resources.



Retail advertising shifts toward machine-readable offers.



Fraud losses and liability costs can erase automation savings.



AI gives advice. People still approve each payment.

Delegated household spending has three paths

Delegation works	Households permit routine purchases within budgets. People approve unusual or high-value spending.
Boring wins	Agents compare prices and prepare baskets. People keep approving every payment.
Core idea fails	Fraud, disputed consent and weak refunds make delegation less attractive than manual approval.
Hidden capability	Existing budgets and recurring payments supply rules. Cheaper planning adds execution across merchants.

Recognition signals and rejection test

- 1 Behavior** Households repeatedly delegate routine purchases after trials without restoring manual approvals.

 - 2 Rules** Banks and merchants adopt revocable permissions, clear liability and reliable refunds.

 - 3 Economics** Fraud, disputes and support costs fall across repeated live cohorts versus manual approval.

 - Abandon if** Repeated real-world failures keep households choosing manual approval despite better tools.
-

Buy Fiserv for:

01

EPS

Clover Monetization (VAS Penetration)

Project Elevate savings reach
\$500M target
Debt is refinanced at lower
rates
Buyback capacity returns
AgentOS becomes widely
used

02

COMPANY-SPECIFIC

Clover Monetization (VAS Penetration)

VAS attach rate climbs
Clover revenue
surpasses GPV growth

03

NEAR-TERM

Q4 Growth, Bank Distribution & Churn

Growth hits mid-single digit
by Q4
Banks renew Fiserv JV
Fewer ISV and merchant
defections

Bot traffic does not establish payment profit

AI claims tested

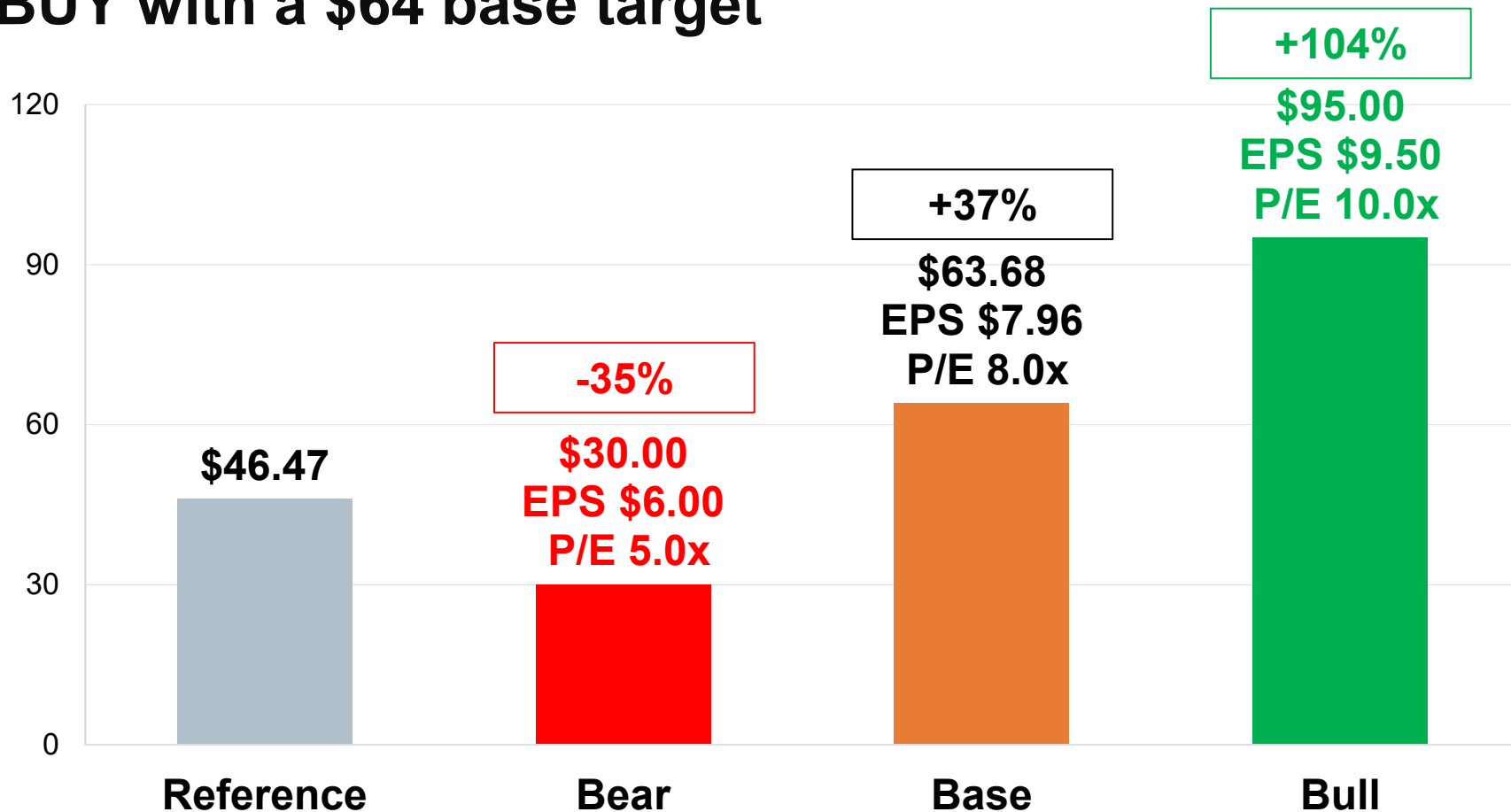
1. **“More AI bot traffic will make agents a major paying customer base and lift both Fiserv EPS and P/E.”**
2. **"The Merchant Solutions segment accounted for the majority of company-wide organic growth for Fiserv in 2024."**

Why the logic breaks

1. The claim sounds plausible because agents may automate purchases. But HTTP requests do not measure payments or paying customers. AI does not mention Fiserv's retained fees, competition and costs. EPS and P/E uplift require paid transactions with positive net profit.
2. The AI claim misses context and fails to mention how Argentina made up the bulk of this growth.

Surviving hypothesis: agent commerce may expand demand, but value capture remains unproven.

BUY with a \$64 base target



Strategy: BUY $\leq$ \$50 after proof STOP \$39.50 UPSIDE EXIT \$63.68

Note:

[1] Price reference: \$46.47, 28 Sep 2026.

[2] Using FY2027 adjusted EPS and end-2027 P/E assumptions

Buy with a \$63.68 base target



Bull: Faster deal launches, stronger Clover monetization and STAR/Accel growth drive earnings recovery

Base: Stabilizing client retention, timely deal launches and gradual margin improvement

Bear: Persistent client losses, implementation delays and weaker merchant margins depress earnings and valuation

A high-potential company oversold by the market

P/E conclusion A low forward PE justified by the company's intrinsic value means a buying opportunity and a margin of safety

EPS conclusion Profitable delivery and Clover economics matter first. Earnings will follow if expansion justifies.

What may change our view Repeated launch delays, weaker Clover economics or persistent cash shortfalls undermine recovery.

EPS & PE P/E and EPS can move separately. Evidence can reject an attractive story before it enters valuation.

References:

- [1] <https://chatgpt.com/share/6abaf453-1964-83e9-8ba2-72b381ea4603>
 - [2] <https://chatgpt.com/share/6abaf453-1964-83e9-8ba2-72b381ea4603>
 - [3] <https://chatgpt.com/share/6abaf453-1964-83e9-8ba2-72b381ea4603>
 - [4] <https://chatgpt.com/share/6abaf468-21ac-83ea-aa74-0d1a2f0ef315>
 - [5] <https://chatgpt.com/share/6abaf468-21ac-83ea-aa74-0d1a2f0ef315>
 - [6] <https://chatgpt.com/share/6abaf470-45c8-83ea-8201-4557f9b8a278>
 - [7] <https://chatgpt.com/share/6abaf47c-a918-83ea-aeed-f8a04c96f0b7>
 - [8] <https://share.google/aimode/93lLivRWslG3lin6u>
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